of your salary—toward your pension every year. This isn't money from your earnings; it's money from your employer. Once you're vested, which usually takes about three to five years, you'll be able to keep those benefits even if you leave your job. Contributions don't increase as you get older.

Seniority doesn't enter the picture, and that means two things: Younger workers can accumulate benefits earlier than they used to, and they can move from job to job without worrying about qualifying for pension benefits. If your employer offers you the chance to switch from a "defined benefit" plan—the name for the old-fashioned type of pension—to a cash balance plan, take it.

Finally, for those interested in socially responsible funds, I recommend Vanguard's FTSE Social Index Fund (expense ratio: 0.24%), but again you'll need to have $3,000.

You can open any of these IRAs online by going to the mutual fund company's website.

THE RETIREMENT PRIORITY BOX

Now that you know more than you ever wanted to about retirement plans, you may be left with one final question: What do I do first? The reality is, if you're like a lot of people starting out, you'll probably be unable to manage more than the first step below, but that's a great start. If you can do more, here's a quick rundown of the rough priority order of your various retirement savings options—that is to say, what to do if you're able to max out your first retirement option and you still have money you're able to allocate to retirement savings.

1. **Contribute to a 401(k) with employer matching.** The best deal around and therefore your number one priority. The match alone can generate an immediate 50% to 100% return on your money (once you're vested), and either flavor of 401(k)—regular or Roth